

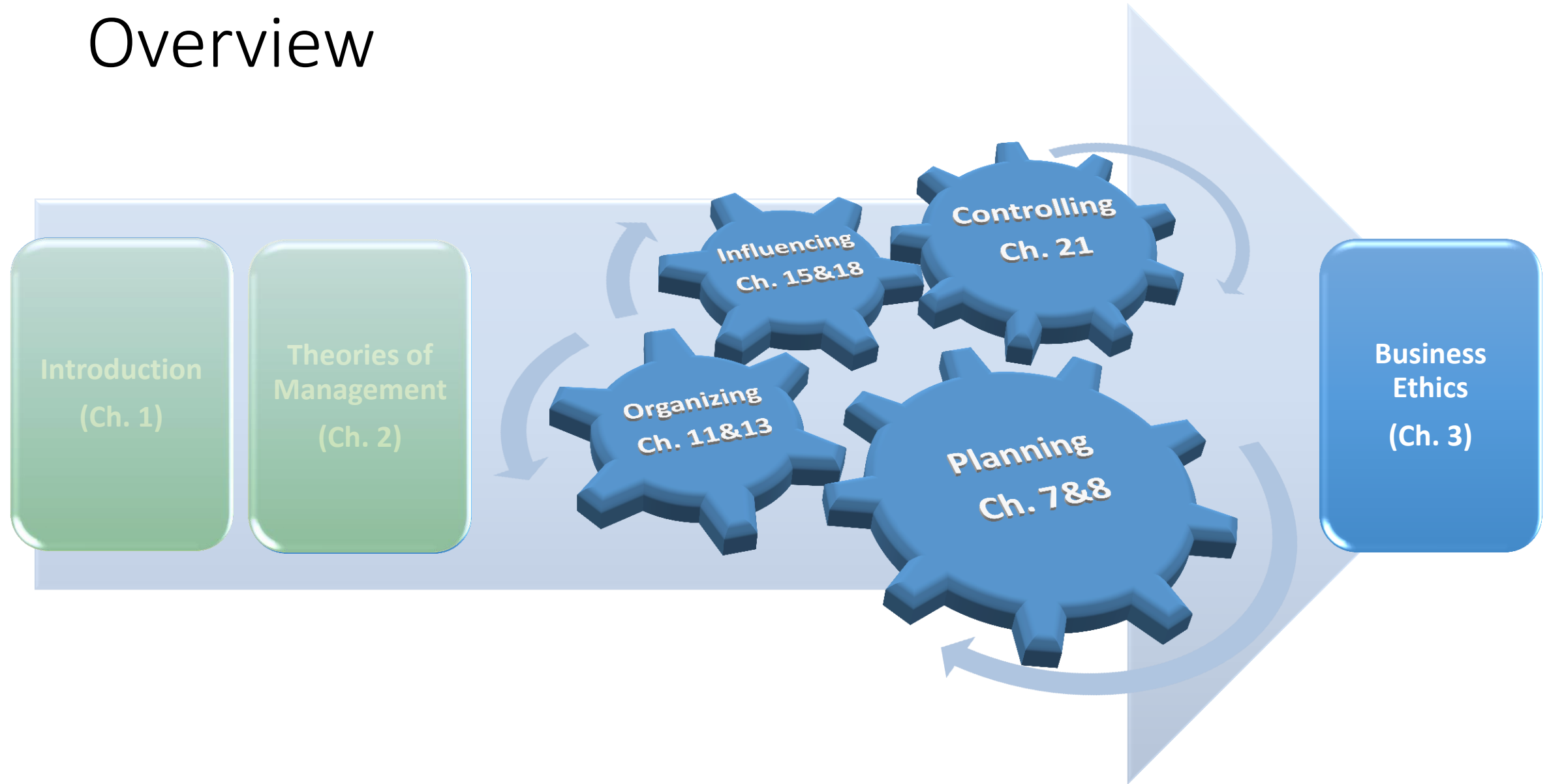
Chapter 7

Principles of Planning

By

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Overview



Objectives

1. *A definition of planning and an understanding of the purposes of planning*
2. *Insights into how the major steps of the planning process are related*
3. *An understanding of the relationship between planning and organizational objectives*
4. *A knowledge of the areas in which managers should set organizational objectives*

Definition of planning

Is the process of determining **how** the organization can get where it wants to go, and **what** it will do to accomplish its objectives

The systematic development of action programs aimed at reaching agreed-upon business objectives by the process of analyzing, evaluating, and selecting among the opportunities which are foreseen.

Purposes of Planning

- **Classic view:**
 1. ***Protective***: to minimize the risk by reducing the uncertainties surrounding business conditions and clarifying the consequences of related management actions
 2. ***Affirmative***: to increase the degree of organizational success
- **Contemporary**: to help the organization reach its objectives.

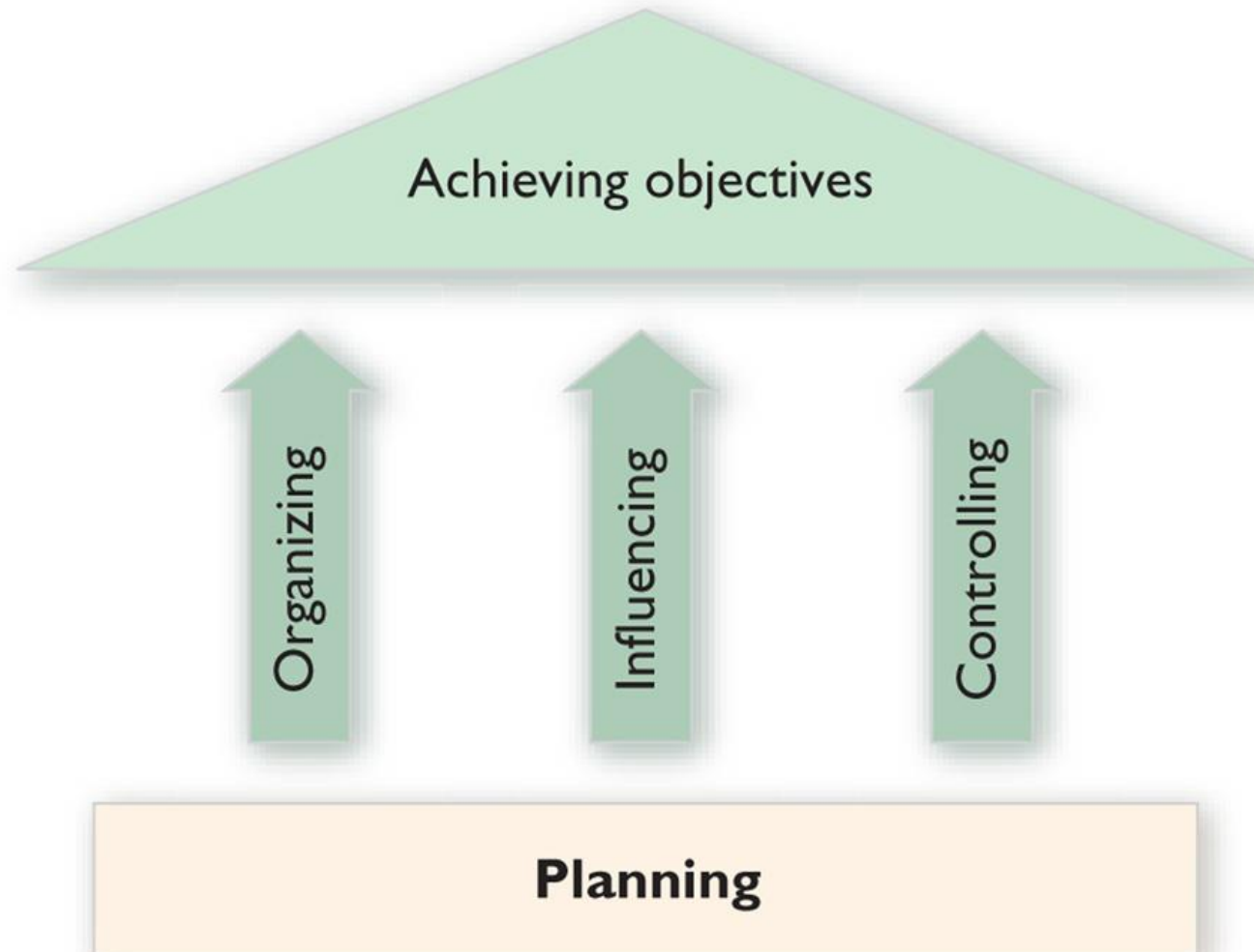
Advantages

- Helps managers to be future-oriented.
- Enhances decision coordination.
- Emphasizes organizational objectives.
- Basis for organizing, influencing and controlling

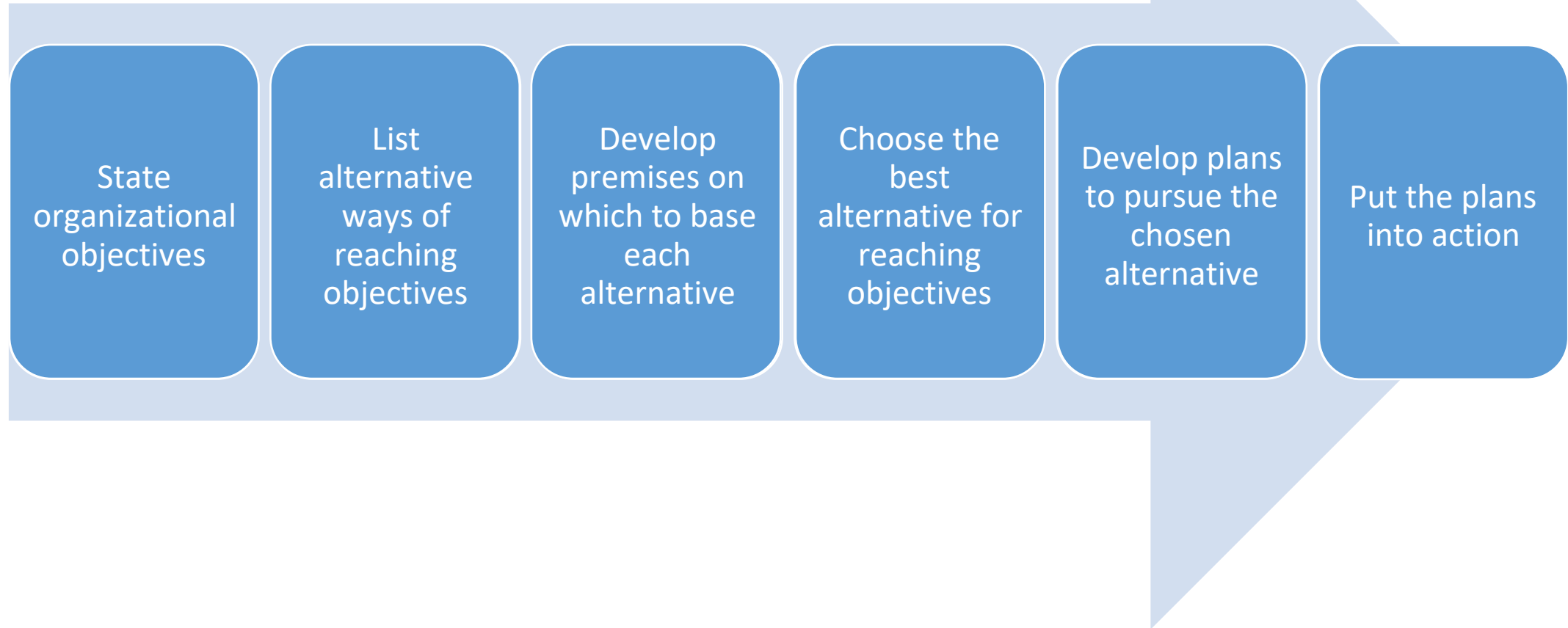
Potential Disadvantages

- Overemphasized planning program can take up too much managerial time.

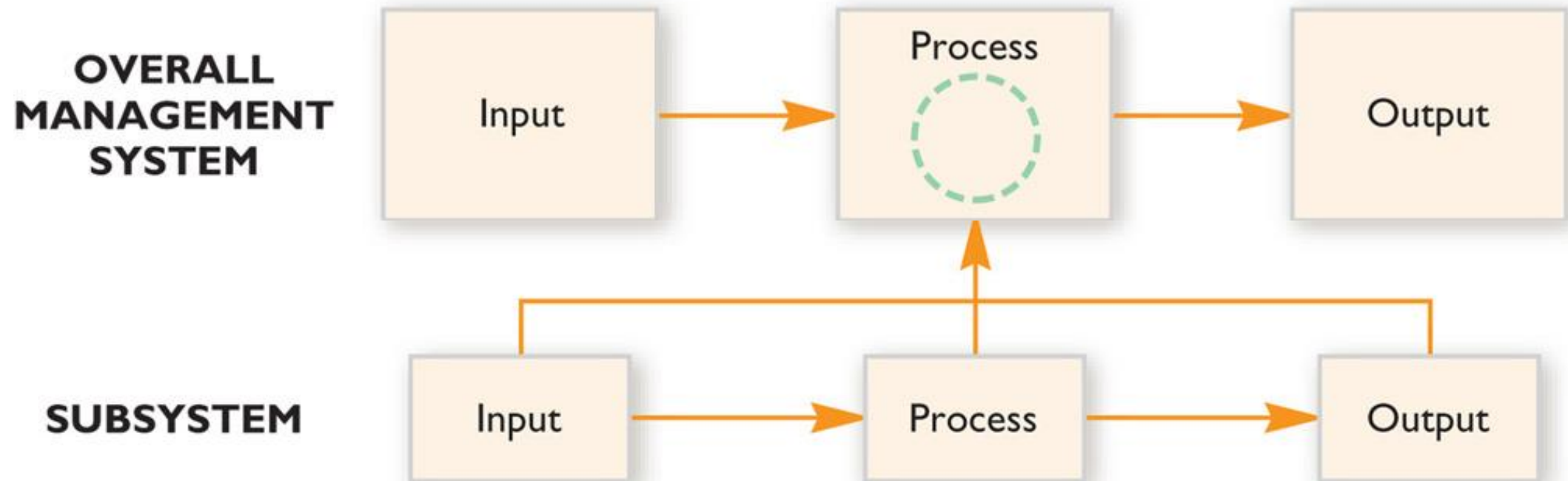
Primacy of Planning



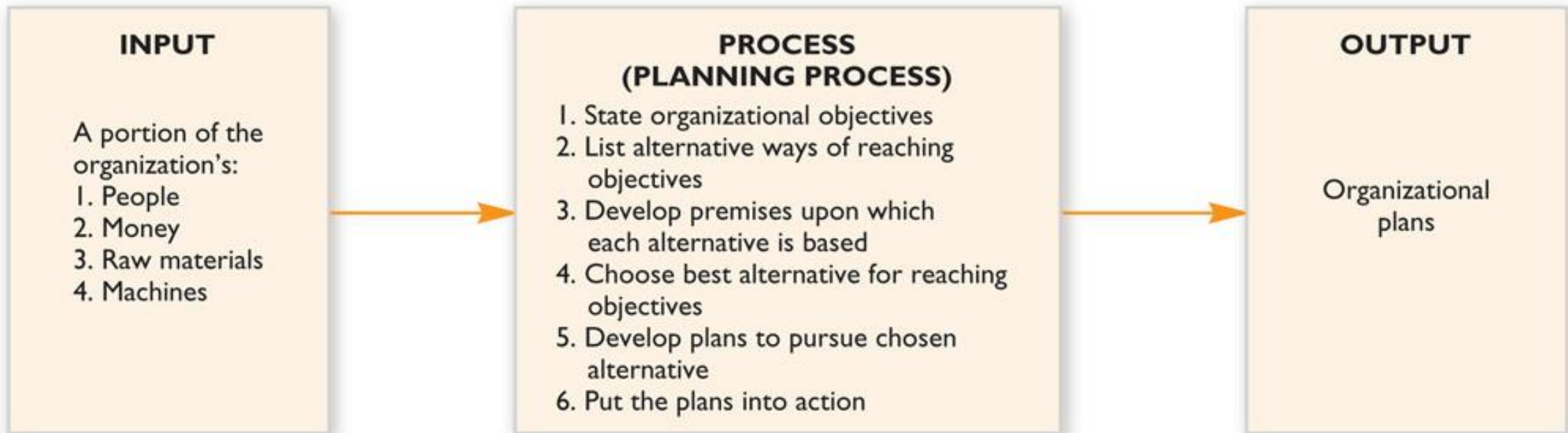
Planning Steps



The Planning Subsystem



The Planning Subsystem



Defining organizational objectives

- A target toward which the open management system is directed
- Properly developed organizational objectives reflect the purpose of the organization
- The **organizational purpose** is what the organization exists to do, given a particular group of customers and customer needs

Main Objectives of any Organization

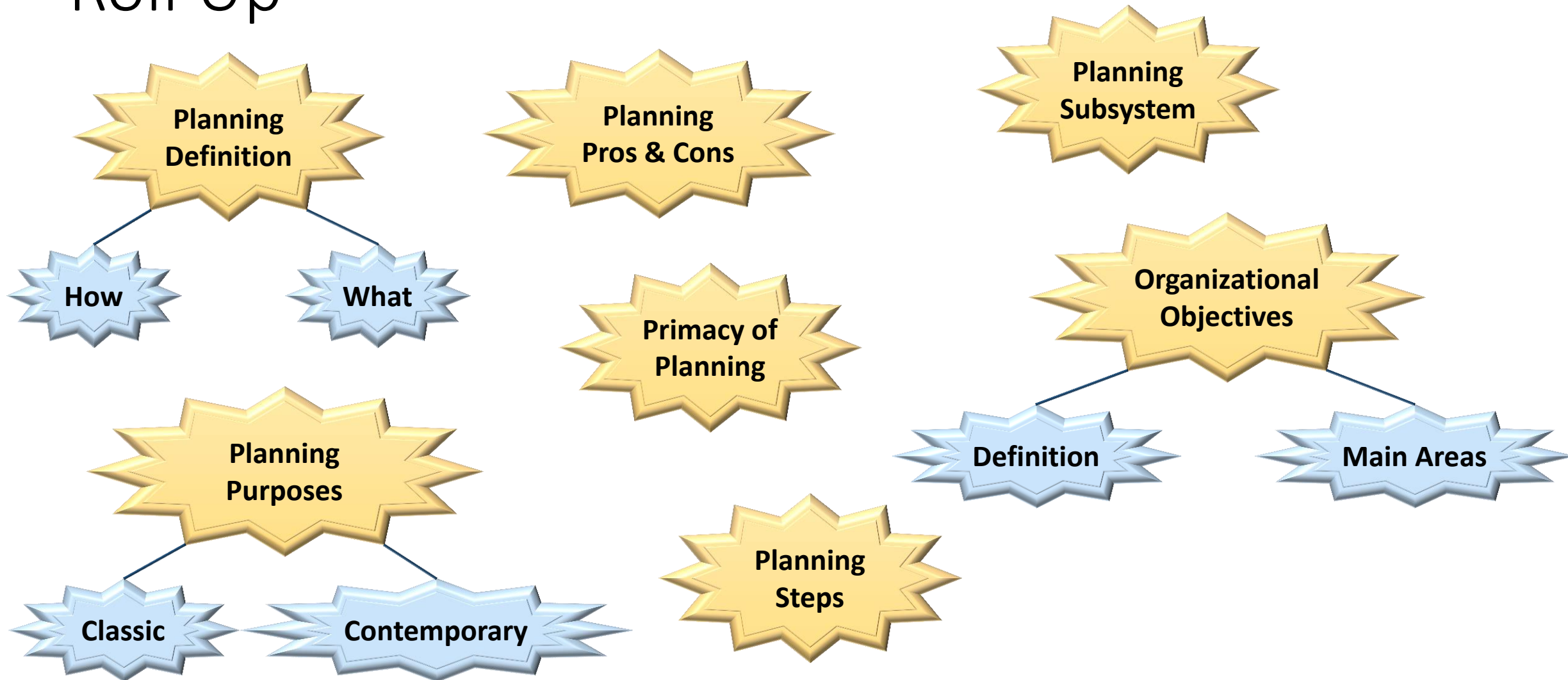
Organizational objectives for businesses can be summarized in three points:

- Profit is the motivating force for managers.
- Service to customers by the provision of desired economic values (goods and services) justifies the existence of the business.
- Managers have social responsibilities in accordance with the ethical and moral codes of the society in which the business operates.

Areas for Organizational Objectives

1. Market Standing
 2. Innovation
 3. Productivity
 4. Physical and Financial Resources
 5. Profitability
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6. Managerial Performance and Development
 7. Worker Performance and Attitude
 8. Public Responsibility

Roll Up



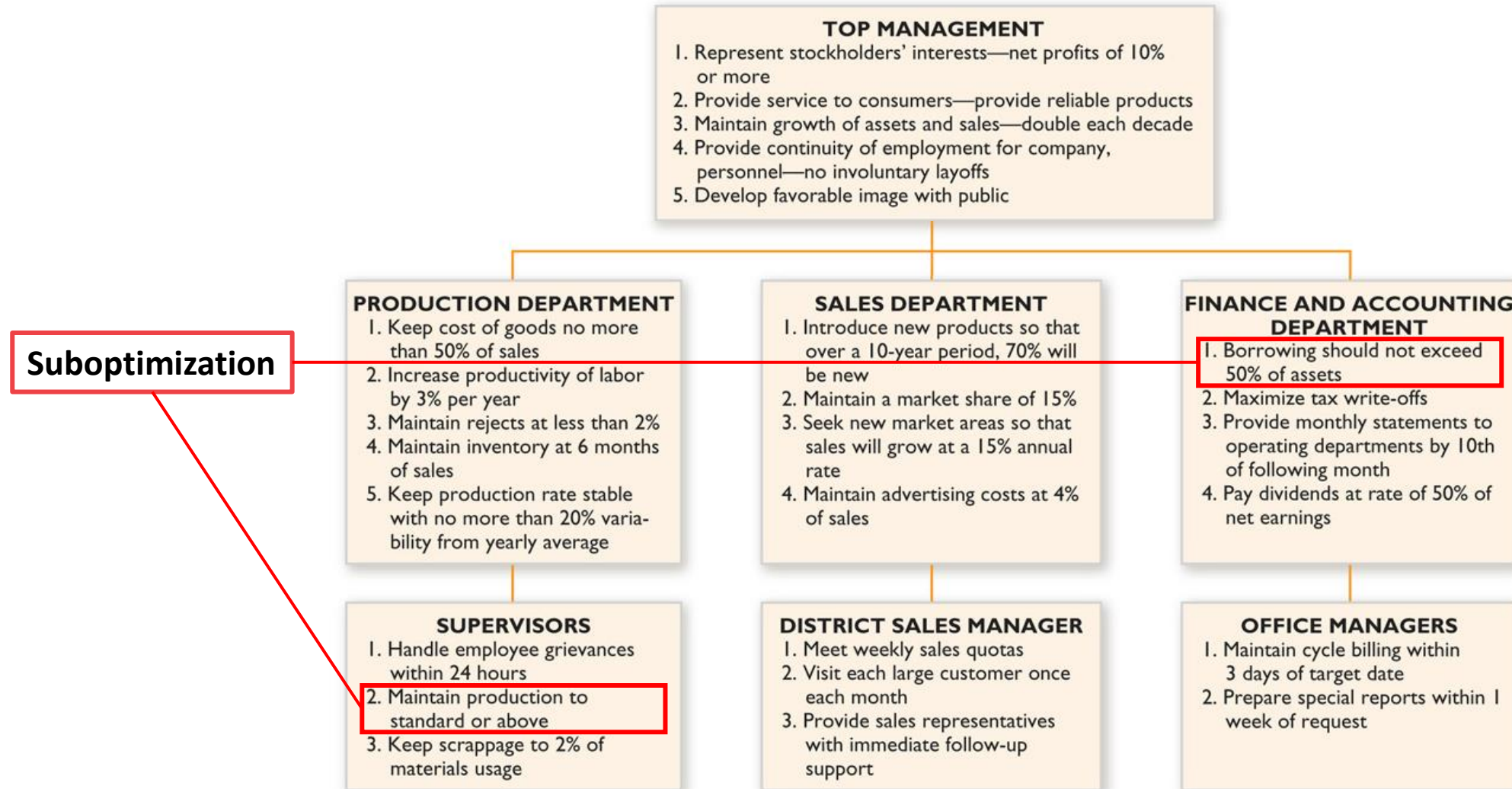
Objectives

1. *Understand how to set a good quality organizational objectives*
2. *An appreciation for the potential of a management-by-objectives (MBO) program*
3. *A knowledge of how the chief executive relates to the planning process*
4. *An understanding of the qualifications and duties of planners and how planners can be evaluated*

Working with Organizational Objectives

- Managers should approach the development, use, and modification of organizational objectives with the utmost seriousness
- In general, an organization should set three types of objectives:
 1. **Short-term objectives**—targets to be achieved in one year or less
 2. **Intermediate-term objectives**—targets to be achieved in one to five years
 3. **Long-term objectives**—targets to be achieved in five to seven years

Developing a Hierarchy of Objectives



Guidelines for Establishing Quality Objectives

1. Let those responsible for attaining objectives have a voice in setting them
2. State objectives as specifically as possible
3. Relate objectives to specific actions whenever necessary
4. Pinpoint expected results
5. Set goals high enough that employees have to strive to meet them, but not so high that employees give up trying to meet them
6. Specify when goals are expected to be achieved
7. Set objectives only in relation to other organizational objectives
8. State objectives clearly and simply

SMART Objectives

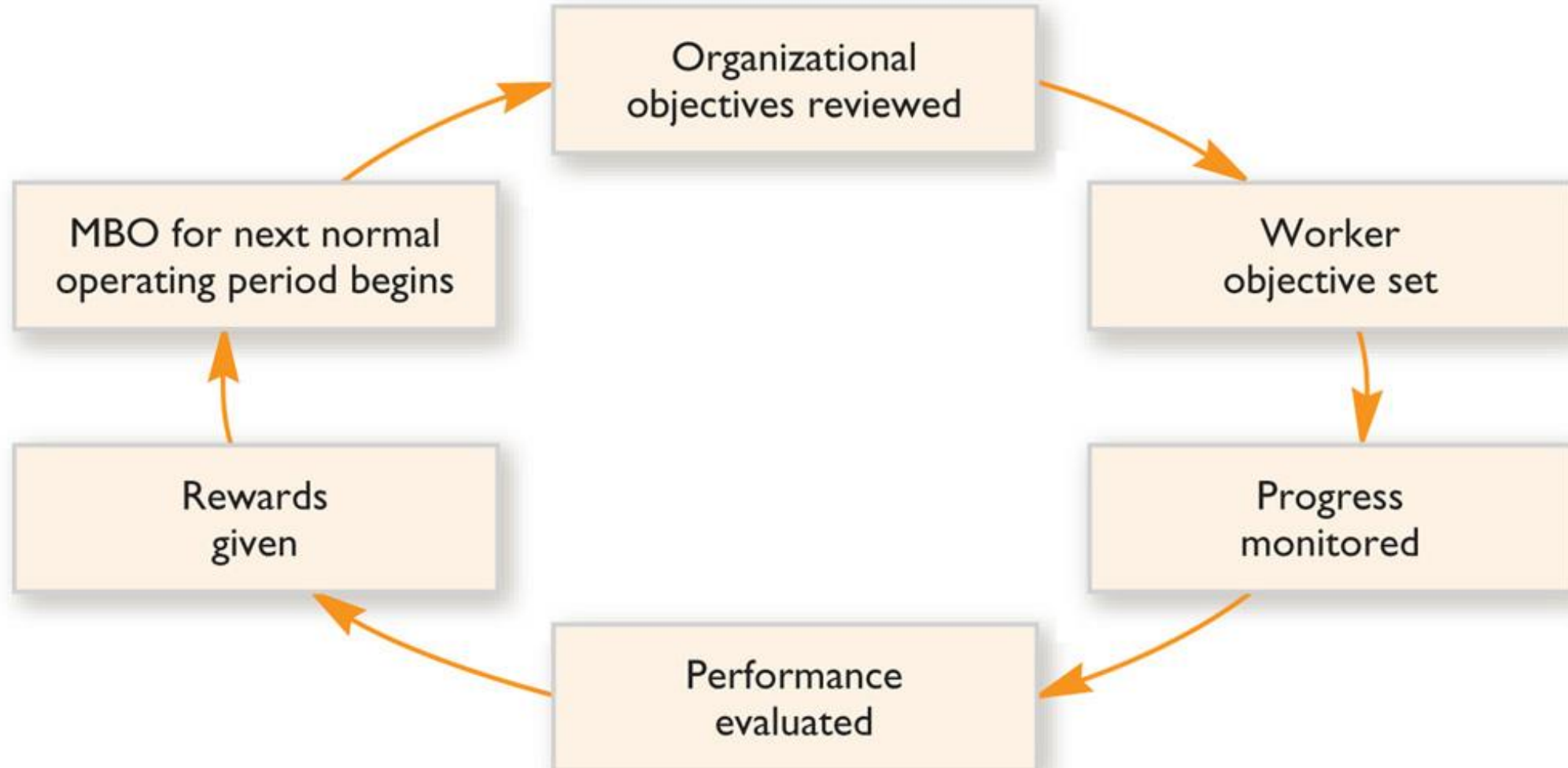
- S pecific
- M easurable
- A ttainable
- R elevant
- T ime-bound

MANAGEMENT BY OBJECTIVES (MBO)

The MBO strategy has three basic parts:

1. All individuals are assigned a specialized set of objectives
2. Performance reviews are conducted periodically
3. Rewards are given to individuals

MBO Process



Factors Necessary for a Successful MBO

1. Top management must be committed to the MBO process and set appropriate objectives for the organization.
2. Managers and subordinates together must develop and agree on individual's goals.
3. Employees performance should be conscientiously evaluated against established objectives.
4. Management must follow through on employees performance evaluations by rewarding employees accordingly.

MBO: Advantages and Disadvantages

Advantages:

1. Continually emphasizes what should be done in an organization to achieve organizational goals
2. Secures employee commitment to attaining organizational goals

Disadvantages:

1. Development of objectives can be time consuming.
2. Increases the volume of paperwork in an organization

Most managers find MBO programs beneficial

The Planner Qualifications

1. Considerable practical experience within their organization
2. Know how all parts of the organization function and interrelate
3. Defining trends and possess the expertise determine how the organization should react to those trends
4. Able to work well with others

Evaluation of Planners

1. Organizational plan is in writing
2. Plan is the result of all elements of management team working together
3. Plan defines present and possible future business of the organization
4. Plan specifically mentions organizational objectives
5. Plan identifies future opportunities and suggests how to take advantage of them
6. Plan emphasizes both internal and external environments
7. Plan describes the attainment of objectives in operational terms whenever possible
8. Plan includes both long- and short-term recommendations

Roll Up



Overview

